

Risk parity programs often have so much fixed income in their portfolios that their managers have to leverage the portfolios in order to strive for an acceptable level of expected return. Since absolute momentum reduces the volatility of our parity portfolio while, at the same, preserving equity-level returns, there is not the same need for leverage.

However, given the low expected drawdown of an absolute momentum parity portfolio, one may still wish to use leverage in order to boost expected returns, as is done with other risk parity programs.⁸ Table B.8 and Figure B.24 show the pro forma results of our 12-month absolute momentum parity portfolio leveraged to an annual volatility level just below the long-term volatility of a normal 60/40 portfolio. We use a borrowing cost of the fed funds rate plus 25 basis points⁹ and a leverage ratio of 1.85 to 1.

Table B.8 Parity Portfolios, 1974–2012

	Leveraged Parity w/Abs Mom	Parity Portfolio w/Abs Mom	Parity Portfolio, No Momentum
Annual return	16.87	11.98	11.28
Annual std dev	10.61	5.75	8.88
Annual Sharpe	0.98	1.06	0.62
Max drawdown	−18.44	−9.60	−30.40
Skewness	0.07	0.16	−0.82
Excess kurtosis	2.77	2.70	7.04